said: Let’s wait until the tax and spending cuts have a chance to work their economic magic. The other side said: They aren’t working, they aren’t going to work, let’s raise taxes.

Excerpts from my diary in 1982 will provide a view of the tug of war as I saw it from the Oval Office:

Jan. 11

Republican House leaders came down to the W.H. Except for Jack Kemp they are h—1 bent on new taxes and cutting the defense budget. Looks like a heavy year ahead.

Jan. 20

First anniversary [of inauguration]. The day was a tough one. A budget meeting and pressure from everyone to give in to increases in excise taxes . . . I finally gave in but my heart wasn’t in it.

Jan. 21

Met with U.S. Chamber of Commerce group. They made an impassioned plea that I not raise any taxes. They were touching a nerve when they said I would look as if I were retreating from my own program. That’s exactly how I feel. After meeting, told Ed [Meese], Jim [Baker] and Mike [Deaver] we had to go back to the drawing board. I just can’t hold still for the tax increases. We’ll go at it again in the morning . . .

Jan. 22

I told our guys I couldn’t go for tax increases. If I have to be criticized, I’d rather be criticized for a deficit rather than for backing away from our economic program. Left for Camp David to work on the State of the Union speech . . .